



Qualification Programme Examination Panelist's Report

Module 6 – Financial Accounting (June 2021 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

This section consisted of 15 multiple choice questions which tested the candidates' knowledge in relation to the following topics:

- Q1 HKICPA *Conceptual Framework for Financial Reporting 2018*
- Q2 HKAS 37 *Provisions, Contingent Liabilities and Contingent Assets*
- Q3 HKFRS 13 *Fair Value Measurement*
- Q4 HKAS 24 *Related Party Disclosures*
- Q5 HKAS 2 *Inventories*
- Q6 HKAS 38 *Intangible Assets*
- Q7 HKAS 10 *Events After the Reporting Period*
- Q8 HKAS 40 *Investment Property*
- Q9 HKAS 16 *Property, Plant and Equipment*
- Q10 HKAS 8 *Accounting Policies, Changes in Accounting Estimates and Errors*
- Q11 HKFRS 5 *Non-current Assets Held for Sale and Discontinued Operations*
- Q12 HKAS 12 *Income Taxes*
- Q13 HKFRS 16 *Leases*
- Q14 HKFRS 15 *Revenue from Contracts with Customers*
- Q15 HKAS 23 *Borrowing Costs*

Questions 1 to 10 covered simpler concepts/computations and were worth 1 mark each. Questions 11 to 15 covered more complicated concepts/computations and were worth 2 marks each.

The wide range of topics in the syllabus seems to be a source of difficulty for candidates. Candidates were weak in certain topics as they might not have had adequate knowledge of every topic in the syllabus when they prepared for the examination.

Specific Comments

Candidates showed weaknesses in the following topics:

- HKICPA *Conceptual Framework for Financial Reporting 2018*
- HKAS 2 *Inventories*
- HKAS 40 *Investment Property*
- HKFRS 15 *Revenue from Contracts with Customers*
- HKAS 23 *Borrowing Costs*



(II) Section B – Written Questions

General Comments

The questions in this section aimed to test the candidates on their knowledge as well as their ability to apply appropriate accounting treatments to specific financial reporting situations.

Candidates performed relatively better in the preparation of statement of cash flows for a single entity. However, they were rather weak in consolidation.

It appears that many candidates did not have a good understanding of the accounting standards and had difficulty in applying relevant requirements to the context.

In general, performance in this section was unsatisfactory.

Specific Comments

Question 1(a) – 25 Marks

This question required candidates to prepare a consolidated statement of profit or loss and other comprehensive income for a simple business group.

Performance was unsatisfactory. Although this was a typical consolidation question (to consolidate a parent company, a subsidiary, and an associate company), candidates had difficulty in tackling the: (1) consolidation adjustments for revaluation of net assets at acquisition date and the corresponding effects in subsequent years; (2) computation of share of profit or loss with non-controlling interests; and (3) computation of share of profit or loss from the associate.

In particular, many candidates were unable to adjust correctly the cost of Property, Plant, and Equipment (it should have been adjusted downwards by HK\$190,000 from HK\$360,000 to HK\$170,000) and its accumulated depreciation (the balance of HK\$120,000 should have been eliminated) due to the revaluation at the acquisition date. They were also unable to adjust the subsequent effects on depreciation correctly (depreciation expense and accumulated depreciation should have been adjusted downwards by HK\$7,000 for both the current and prior year).

Furthermore, many candidates failed to make proper adjustments for non-controlling interests (i.e., depreciation adjustment on revaluation of plant and upstream intra-group sales adjustment) and the group's investment in the associate (i.e., depreciation adjustment on revaluation of machine and inter-entity sales adjustment).



Question 1(b) – 5 Marks

This question required candidates to evaluate whether the company is eligible for the adoption of HKFRS for Private Entities.

Performance was far less than satisfactory. Though the question was straightforward, many candidates were not able to answer this question as they did not know the criteria in determining the eligibility for such an adoption. In particular, they could not relate the question to public accountability, which was the key assessment factor, and many of them wrote irrelevant answers.

Question 2(a) – 15 Marks

This question required candidates to prepare a statement of cash flows using the indirect method, with the provision of a statement of financial position and a statement of profit or loss and other comprehensive income.

Performance was fair. Some candidates were unable to classify the items correctly into operating, investing, and financing activities. Many candidates could not find the correct figures of cash and cash equivalents since they were not aware that the short-term investments (highly liquid and close to maturity) and bank overdraft should be included in the computation as they were both considered as cash and cash equivalents.

While candidates, in general, could handle adjustments for items in the operating activities section (e.g., adjustments for the working capital changes), they had difficulty in the investing and financing sections. In particular, many candidates were unable to determine the cash payments for the acquisition of property, plant, and equipment due to the complexities of revaluation (HK\$1,350,000) and purchase through a long-term loan (HK\$820,000). Some candidates also did not include this long-term loan when they calculated cash outflows for loan repayment.

Question 2(b) – 5 Marks

This question required candidates to explain how (and why) HKAS 7 *Statement of Cash Flows* deals with non-cash transactions.

Performance was very poor. Many candidates did not know that the accounting standard requires disclosure (e.g., in the notes of financial statements) of significant non-cash investing and financing transactions that materially affect the financial position of an entity for the reason of relevancy.



Question 3 – 12 Marks

This question required candidates to: (1) show how the impairment loss of a cash-generating unit should be allocated; and (2) compute the carrying values of the assets after the impairment was done.

Performance was unsatisfactory. Candidates encountered difficulty in tackling this topic (HKAS 36 *Impairment of Assets*).

While candidates, in general, recognised that the impairment loss should first be allocated against goodwill, many of them could not properly allocate the remaining to the other assets, mainly because they did not know that the allocation should be made on a pro-rata basis or they wrongly included net current assets in the computation (net current assets are outside the scope of HKAS 36).

Some candidates recognised that only HK\$50,000 (not HK\$103,000) was allocated to Land because the impaired value could not be lower than the recoverable amount. However, many candidates did not/were not able to correctly re-allocate the difference (HK\$53,000) to the other non-current assets (i.e., property, plant, and equipment and capitalised development expenditure).

Question 4 – 6 Marks

This question required candidates to calculate the basic and diluted EPS for a company in accordance with HKAS 33 *Earnings Per Share*.

Performance was far less than satisfactory. Candidates were rather weak in the computation of diluted EPS. Many were unable to calculate the dilutive impact of options (i.e., the additional shares issued for no consideration). Many also failed to assess the dilutive effect of the convertible preference shares, so they were not aware that this convertible instrument was indeed anti-dilutive and should not be included in the calculation of diluted EPS.

Question 5(a) – 4 Marks

This question required candidates to explain the accounting classification of a company's equity investment in accordance with HKFRS 9 *Financial Instruments*.

Performance was far less than satisfactory. While candidates in general were able to specify that the equity investment was recorded initially and subsequently at fair value, they failed to explain the reason behind this. Additionally, many could not point out that the gains or losses arising from fair value changes should be recognised in other comprehensive income but not profit or loss (since the investment was not held for trading).



Question 5(b) – 4 Marks

This question required candidates to prepare journal entries with regard to the equity investment for the current year end.

Performance was unsatisfactory. Many candidates failed to apply the appropriate accounting treatments for the equity investment. In particular, they did not realise that the HK\$40,000 transaction cost should be part of the investment initial cost. And many also failed to debit the fair value loss through the other comprehensive income account.

Question 5(c) – 4 Marks

This question required candidates to explain the impact on the company's profit or loss regarding a change in credit risk of its debt investment (bonds).

Performance was poor. Most candidates failed to demonstrate their understanding of the expected credit loss (ECL) model in HKFRS 9 *Financial Instruments*. Some candidates were able to point out that a loss was to be made due to the significant increase in the bonds' credit risk. However, many candidates did not appropriately explain why such loss should be made in accordance with the ECL model.

(III) Conclusion and Recommendation

Overall, the performance of the candidates was far from satisfactory, particularly on the written questions in Section B.

Candidates are advised to revisit the fundamental requirements of financial reporting standards that are commonly used in practice, on top of those that have become effective in recent years.

Candidates are reminded to provide workings on calculations since partial marks may be given to correct workings even if the final answer is wrong.

Candidates are reminded to make a reasonable attempt to answer every part of the questions.